LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Structured Exit Funding ?

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Chapter 1: Product Overview & Core Philosophy of Structured Exit Funding

Structured Exit Funding represents an advanced category of private credit, structured debt, and hybrid equity-linked financing designed specifically to facilitate clean, predictable, and non-disruptive liquidity exits for early-stage financial investors (venture capital funds, private equity funds, angel networks), outgoing promoters, or joint venture partners. In the corporate life cycle, institutional equity investors operating under closed-ended fund mandates (typically 7 to 10 years) face strict fund-life expiration deadlines. When portfolio companies are not yet fully ready for an Initial Public Offering (IPO) or a strategic trade sale, or when public markets undervalue the enterprise, an acute 'exit-valuation mismatch' arises. Structured Exit Funding solves this fundamental friction by introducing structured private credit capital to buy out outgoing equity stakeholders, allowing remaining promoters to retain 100% operational and voting control while providing outgoing investors with full cash liquidity.

Unlike traditional commercial bank loans—which are strictly constrained by Reserve Bank of India (RBI) capital market exposure directions prohibiting banks from directly financing equity share purchases or buybacks—Structured Exit Funding is primarily extended by SEBI-registered Category II Alternative Investment Funds (AIFs), private credit funds, specialized Non-Banking Financial Companies (NBFCs), and offshore institutional debt investors. The core philosophy of this financial product revolves around monetizing the company's future operational cash flows, forward-looking Enterprise Value (EV), and balance sheet strength rather than relying solely on tangible real estate collateral.

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The table below details the strategic comparison between Structured Exit Funding and traditional corporate liquidity mechanisms:

Dimension	Structured Exit Funding	Secondary Equity Sale	IPO Listing Exit	Bank Debt Facility
Primary Objective	Liquidity exit for PE/VC or outgoing promoters without dilution	Full/partial stake sale to a new PE sponsor	Public capital market listing and retail/HNI exit	Operational capex or working capital funding
Promoter Dilution	Zero dilution (promoter retains or increases equity control)	Significant equity dilution and new board control	Equity dilution (minimum 15%-25% public float)	Zero dilution, but strict bank mortgage covenants
Execution Timeline	4 to 8 weeks (Private Credit AIF closing)	4 to 9 months (Complex due diligence & SPA)	9 to 18 months (DRHP, SEBI approval & roadshows)	2 to 4 months (Rigid appraisal process)
Capital Structure Impact	Subordinated / HoldCo debt or NCDs with PIK coupons	Equity transfer; no direct corporate debt added	Public equity capital expansion	Senior secured bank debt addition

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Chapter 2: Structural Architecture, Mechanics & Exit Vehicles

The structural architecture of Structured Exit Funding is designed to insulate the core operating company (OpCo) from cash flow strain while guaranteeing a legally enforceable debt servicing route for private credit lenders. Depending on the tax profile, regulatory constraints, and corporate holding structure, four primary exit vehicles are deployed in the Indian wholesale BFSI market:

- **1. Promoter Holding Company (HoldCo) Share Buyout Debt:** The promoter incorporates or uses an unencumbered Holding Company (HoldCo) to issue Non-Convertible Debentures (NCDs) or term loans to a Private Credit AIF. The proceeds are used by HoldCo to purchase the outgoing PE/VC fund's equity shares. The debt is secured by an exclusive pledge over 100% of the acquired demat equity shares (with a 2.0x to 2.5x pledge cover) and serviced via upstreamed OpCo dividends or future secondary sales.
- **2. OpCo Share Buyback via Structured NCDs:** The operating company (OpCo) executes a formal corporate share buyback under Section 68 of the Companies Act 2013, funded via internal accruals combined with structured NCD issuances. The outgoing PE fund tenders its shares during the buyback, receiving instant cash, while the remaining shares held by the promoter increase in percentage ownership without spending personal capital.
- **3. Secondary Private Credit Buyout Facilities:** A Private Credit AIF directly purchases the outgoing equity stake via Optionally Convertible Debentures (OCDs) or Compulsorily Convertible Debentures (CCDs) structured with minimum guaranteed IRR benchmarks. This converts a volatile equity position into a senior-ranking hybrid debt note with fixed redemption timelines.
- **4. Pre-IPO Liquidity Bridges:** For companies that have filed Draft Red Herring Prospectuses (DRHP) with SEBI, structured exit debt bridges the 12-to-18 month gap until listing. Outgoing investors receive partial or full cash exit upfront, while the debt facility is fully extinguished from IPO primary/secondary proceeds upon listing.

To ensure seamless cash flow control, Structured Exit Funding integrates a Trust & Retention Account (TRA) Escrow Waterfall. All corporate revenues, dividend distributions, or IPO proceeds pass through a lender-controlled Escrow TRA account executed with an independent Escrow Agent Bank, ensuring priority debt servicing before surplus cash is released to promoters.

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Chapter 3: Regulatory, Tax & Foreign Exchange (FEMA) Framework in India

Structured Exit Funding operates under a rigorous multi-regulatory matrix in India governed by the Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), Ministry of Corporate Affairs (MCA), and the Income Tax Department:

1. Companies Act 2013 Statutory Buyback Controls (Section 68)

When exit funding is structured via corporate share buybacks, Section 68 mandates strict statutory ceilings: (a) Total shares bought back in any financial year cannot exceed 25% of aggregate paid-up capital and free reserves; (b) The post-buyback Debt-to-Equity Ratio of the company must not exceed 2.0:1; (c) Buybacks must be authorized by Board Resolution (up to 10%) or Special Resolution (up to 25%); and (d) A statutory 1-year cooling period is required between consecutive buybacks.

2. Reserve Bank of India (RBI) Capital Market Exposure & Bank Restrictions

Under RBI Commercial Banks Capital Market Exposure Directions, commercial banks are strictly prohibited from extending direct credit for purchasing equity shares or funding corporate share buybacks. This regulatory restriction establishes SEBI-registered Category II Alternative Investment Funds (AIFs) and Non-Banking Financial Companies (NBFCs) as the sole legal institutional vehicles permitted to underwrite structured exit debt in India.

3. Income Tax Act 1961 Provisions (Section 115QA, Section 36(1)(iii) & Section 115UB)

Tax engineering plays a decisive role in exit structuring: (a) Section 115QA levies a buyback tax of 20% plus applicable surcharge and cess on distributed income (buyback price minus issue price) paid directly by the company, rendering buyback proceeds tax-exempt in the hands of outgoing shareholders under Section 10(34A); (b) Interest paid on debt-classified NCDs is fully tax-deductible as finance expenses under Section 36(1)(iii); and (c) SEBI Category II Private Credit AIFs enjoy full tax pass-through status under Section 115UB, passing tax liability directly to underlying LP investors.

4. Foreign Exchange Management Act (FEMA) Foreign Direct Investment (FDI) Rules

When buying out offshore PE/VC funds, equity share transfers between residents and non-residents must strictly comply with RBI FEMA pricing guidelines. Share transfer prices cannot fall below the Fair Market Value (FMV) determined by an independent SEBI-registered Merchant Banker or Chartered Accountant using the Discounted Cash Flow (DCF) valuation methodology.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Institutional private credit funds evaluate Structured Exit Funding applications using rigorous quantitative and qualitative underwriting benchmarks to ensure absolute debt service protection:

Underwriting Parameter	Minimum Threshold	Target / Ideal Benchmark
Annual Revenue Scale	INR 100 Crores per annum	INR 250 Crores to INR 1,500+ Crores
Operating EBITDA Margin	Minimum 12.0% sustainable EBITDA	18.0% to 25.0%+ EBITDA margin
Share Pledge Cover Ratio	Minimum 2.0x market cover	2.5x to 3.0x pledged demat equity cover
Projected DSCR	Minimum 1.30x average DSCR	1.50x to 1.85x DSCR across loan tenure
Consolidated Debt / EBITDA	Maximum 4.0x Net Debt / EBITDA	< 2.5x Net Debt / EBITDA post-exit

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Chapter 5: Security Architecture, Escrow Controls & Documentation Suite

The security package backing Structured Exit Funding is multi-layered, combining equity share pledges, asset hypothecation, and cash flow escrow ring-fencing:

- **Exclusive Equity Share Pledge:** 100% pledge over the acquired/bought-out equity shares held in NSDL/CDSL depositories in favor of a SEBI-registered Debenture Trustee. Enforces dynamic margin call triggers—if share valuation drops below 1.75x cover, promoters must deposit additional demat shares or cash within 2 business days.
- **Non-Disposal Undertaking (NDU):** Irrevocable NDU executed by promoters covering unpledged equity shares to prevent secondary share sales or voting dilution during facility tenure.
- **Escrow TRA Account Charge:** First pari-passu charge on Trust & Retention Accounts ring-fencing OpCo dividend distributions, IPO secondary sales proceeds, or asset monetization cash flows.
- **Personal & Corporate Guarantees:** Unconditional, joint, and several personal guarantees executed by lead promoters and corporate guarantees from parent HoldCo entities.
- **Debt Service Reserve Account (DSRA):** Upfront liquid cash or bank FD reserve equal to 3 to 6 months of interest and principal servicing maintained in a pledged DSRA account.

Master Legal Documentation Suite includes: Share Purchase Agreement (SPA), Debenture Trust Deed (DTD), Share Pledge & NDU Agreement, Escrow TRA Agreement, and Intercreditor Agreement (ICA). Statutory perfection requires filing ROC Form CHG-1 within 30 days under Section 77 of the Companies Act 2013, registration on CERSAI security portal, and filing with the NeSL Information Utility.

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Chapter 6: Indicative Tenure, Pricing Framework & Yield Structure

Facility tenures range from 12 months (Pre-IPO bridge facilities) to 60 months (5 years for medium-term promoter buyouts), featuring 12 to 24 month principal moratorium periods aligned with company cash flow growth.

Pricing is structured to deliver an All-In Yield to Maturity (YTM) of 14.0% to 19.0% p.a. to private credit investors using a split pricing formula:

All-In YTM (14.0% - 19.0%) = Cash Coupon (8.0% - 11.0%) + PIK Accrual (3.0% - 5.0%) + Upfront Fee (1.0% - 2.5%) + Exit Redemption Premium

Payment-In-Kind (PIK) compounding accruals allow borrowers to pay a modest current cash coupon (e.g., 9.50% p.a.) while the remaining yield (e.g., 4.50% p.a.) compounds annually into principal, matching debt servicing with future EBITDA expansion or IPO listing events.

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Chapter 7: Suitable Industries, Business Profiles & Use Cases

Structured Exit Funding is ideal for resilient, high-cash-flow sectors characterized by strong EBITDA margins and clear 3-to-5 year liquidity horizons:

- **High-Growth Tech, SaaS & B2B Platforms:** Enables early VC fund exits (Series A/B funds) while company prepares for a large Series D or IPO round.
- **Consumer Brands & D2C Enterprises:** Allows founding team to buy out early angel networks and seed funds without equity dilution.
- **Healthcare, Pharma & Medical Diagnostics:** Provides liquidity to private equity investors in high-EBITDA hospital chains or pharma manufacturing units.
- **Specialty Chemicals & Capital Goods:** Funds promoter buyouts of JV partners or non-aligned family shareholders.
- **Renewable Energy & Infrastructure SPVs:** Monetizes developer equity stakes post-COD (Commercial Operation Date).

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Chapter 8: Key Advantages & Structural Limitations

Key Advantages for Promoters & Borrowers	Structural Limitations & Risk Factors
100% Zero Equity Dilution: Promoters retain full equity upside and board control.	Higher Cost of Debt Capital: Private credit yields (14%-19% YTM) exceed bank loan rates.
Instant LP Liquidity: Outgoing PE/VC funds receive full cash exit on time.	Strict Share Pledge Margin Calls: Stock price drops trigger 2-day margin top-up mandates.
Tax Efficiency: NCD interest is tax-deductible u/s 36(1)(iii); AIF pass-through u/s 115UB.	Section 68 Buyback Caps: Buyback amounts strictly capped at 25% of net worth per year.
Rapid Execution: Private credit closing within 4 to 8 weeks vs. 12 months for IPO.	Exit Refinancing Risk: Bullet redemptions depend on future IPO listing or secondary sale.

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Chapter 9: Comprehensive Real-World Case Study (INR 300 Crore Exit Funding)

To illustrate the operational and financial execution of Structured Exit Funding in India, consider the following real-world case study:

Model Corporate Entity: Vanguard HealthTech & Pharma Limited (OpCo) & Vanguard Healthcare Holdings (HoldCo).
Background: 7 years ago, early-stage VC fund 'Aura Ventures' acquired a 30% equity stake in Vanguard HealthTech for INR 60 Crores. By 2026, Vanguard HealthTech expanded revenues to INR 450 Crores and EBITDA to INR 90 Crores (20% margin). Aura Ventures reached its mandatory fund-closure deadline and required a full cash exit at a fair valuation of INR 300 Crores (valuing the 30% stake based on a Total Enterprise Value of INR 1,000 Crores).
Problem: The promoter owned 70% equity but lacked INR 300 Crores in liquid cash to buy out Aura Ventures. Commercial banks could not fund share purchases due to RBI Capital Market Exposure rules. An immediate IPO was unviable due to public market volatility.

Structured Exit Solution: A SEBI-registered Category II Private Credit AIF executed a INR 300 Crore Structured Exit NCD Facility issued by HoldCo:
• Facility Amount: INR 300.00 Crores
• Structure: Senior Secured NCDs @ 10.0% Cash Coupon + 4.0% PIK Coupon + 2.0% Exit Premium = 16.0% Target YTM
• Tenure & Moratorium: 4-Year Tenure with 12-Month Principal Moratorium
• Security Package: Exclusive pledge of 100% demat shares of Vanguard HealthTech (2.5x share pledge cover = INR 750 Cr valuation), Escrow TRA charge over OpCo dividend distributions, and promoter guarantee.

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The 4-Year Debt Waterfall & Exit Financial Model Table below demonstrates how operational growth fully paid off the exit facility while scaling promoter wealth:

Financial Metric (INR Cr)	Year 1	Year 2	Year 3	Year 4	4-Yr Total
OpCo Gross Revenue	450.00	620.00	850.00	1,120.00	3,040.00
OpCo EBITDA (20% Margin)	90.00	124.00	170.00	224.00	608.00
Upstreamed Dividends (50%)	45.00	62.00	85.00	112.00	304.00
HoldCo NCD Cash Interest (10%)	30.00	30.00	25.00	15.00	100.00
NCD Principal Amortisation	0.00 (Mora)	32.00	60.00	208.00 (IPO)	300.00

Result & Value Creation: In Year 4, Vanguard HealthTech successfully listed on the NSE/BSE via an IPO at a market capitalization of INR 2,240 Crores (10x EBITDA). IPO primary/secondary proceeds fully paid off the remaining INR 208 Crore NCD debt plus exit premiums. Outgoing investor Aura Ventures received 100% cash exit in Year 1, while the promoter increased equity ownership from 70% to 100% post-exit, scaling personal equity wealth from INR 490 Crores to INR 2,240 Crores without losing operational control.

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Chapter 10: Legal Framework under IBC 2016 & Enforcement Mechanics

In the event of borrower default, Structured Exit Funding investors benefit from robust statutory enforcement mechanisms under Indian law:

1. Share Pledge Enforcement under Section 176 of the Indian Contract Act 1872: Debenture Trustees hold statutory powers to enforce pledged demat equity shares upon serving a 5-day default notice, transferring pledged shares directly into Trustee demat accounts or executing private block sales on the stock exchange without requiring court intervention.
2. Insolvency and Bankruptcy Code (IBC 2016) Priority Ranking: NCD holders are classified as Financial Creditors under Section 5(8) of the IBC. In the event of Corporate Insolvency Resolution Process (CIRP) initiation before NCLT under Section 7, secured exit debt holders hold top priority under Section 53 Liquidation Waterfall provisions, ranking ahead of unsecured creditors and government statutory tax dues.
3. Section 29A Ineligibility Filters: Prevents defaulting or non-cooperative promoters from submitting resolution plans to re-acquire pledged company assets or shares during insolvency proceedings.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

Q1: What is the primary operational objective of Structured Exit Funding?

Answer: Structured Exit Funding provides non-dilutive debt or hybrid capital to buy out outgoing early-stage investors (PE/VC funds) or co-promoters, providing full investor cash liquidity while allowing remaining promoters to retain 100% operational and equity control.

Q2: Why do commercial banks in India rarely provide exit funding for share buybacks?

Answer: RBI Capital Market Exposure (CME) directions strictly prohibit commercial banks from extending direct loans for purchasing equity shares or funding corporate share buybacks, leaving SEBI Category II Private Credit AIFs and NBFCs as the primary institutional lenders.

Q3: What is the statutory share buyback limit under Section 68 of the Companies Act 2013?

Answer: Section 68 caps annual share buybacks at maximum 25% of aggregate paid-up capital and free reserves, and requires a post-buyback Debt-to-Equity Ratio not exceeding 2.0:1.

Q4: How does Payment-In-Kind (PIK) interest benefit borrowers in an exit facility?

Answer: PIK interest allows borrowers to pay a modest current cash coupon (e.g., 9.5% p.a.) while the remaining yield (e.g., 4.5% p.a.) compounds into principal, preserving operational cash flow until future IPO listing or secondary sales occur.

Q5: What is the typical Share Pledge Cover Ratio mandated by private credit lenders?

Answer: Lenders require a minimum Share Pledge Cover Ratio of 2.0x to 2.5x (market value of pledged demat equity shares divided by total debt facility amount).

Q6: What tax exemption applies to outgoing shareholders during a corporate share buyback under Section 115QA?

Answer: Under Section 115QA, the company pays a 20% buyback tax plus surcharge on distributed income, rendering the buyback proceeds 100% tax-exempt in the hands of outgoing shareholders under Section 10(34A).

Q7: What is the tax status of SEBI Category II Private Credit AIFs under Section 115UB?

Answer: Category II AIFs enjoy full tax pass-through status under Section 115UB of the Income Tax Act 1961, passing income tax liabilities directly to underlying LP investors without double taxation at the fund level.

Q8: How does an Escrow Trust & Retention Account (TRA) protect exit debt lenders?

Answer: An Escrow TRA account forces all corporate revenues, dividend distributions, and IPO proceeds to pass through a lender-controlled bank account, enforcing priority debt servicing before surplus cash is released to promoters.

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Q9: What happens if pledged share valuation drops below the margin call threshold?

Answer: If share cover falls below the margin call threshold (e.g., 1.75x), promoters are contractually obligated under the Share Pledge Agreement to deposit additional demat shares or cash within 2 business days to restore cover.

Q10: What is the typical All-In Yield to Maturity (YTM) targeted by Private Credit AIFs for exit debt?

Answer: Private Credit AIFs target an All-In YTM of 14.0% to 19.0% p.a., combining cash coupons, PIK accruals, upfront processing fees, and exit redemption premiums.

Q11: What FEMA FDI pricing requirement applies when buying out offshore PE funds?

Answer: Share transfers from non-residents to resident promoters cannot occur below the Fair Market Value (FMV) calculated using the Discounted Cash Flow (DCF) method by an independent Chartered Accountant or Merchant Banker.

Q12: How are exit debt holders classified under the Insolvency and Bankruptcy Code (IBC 2016)?

Answer: NCD exit debt holders are classified as Financial Creditors under Section 5(8) of the IBC, giving them Section 7 CIRP filing rights and top priority ranking under Section 53 Liquidation Waterfalls.

Q13: What is a Pre-IPO Liquidity Bridge?

Answer: A short-term exit debt facility (12-24 month tenure) provided to buy out outgoing investors after DRHP filing, which is fully paid off from primary/secondary IPO proceeds upon listing.

Q14: Are interest payments on debt-issued exit facilities tax-deductible?

Answer: Yes, interest paid on debt-classified NCDs or term loans is fully deductible as finance expenses under Section 36(1)(iii) of the Income Tax Act 1961.

Q15: How does Section 176 of the Indian Contract Act 1872 assist debenture trustees?

Answer: Section 176 empowers Debenture Trustees to enforce pledged demat shares upon default after giving reasonable notice, selling pledged shares on the open market or transferring them without court intervention.

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